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HONG KONG DIPLOMA OF SECONDARY
EDUCATION EXAMINATION

(Mock Test 41)

Suggested Solution

Paper 1

1. D	11. C	21. C	31. A
2. B	12. B	22. C	32. D
3. A	13. B	23. B	33. D
4. C	14. C	24. A	34. A
5. D	15. D	25. B	35. D
6. B	16. D	26. B	36. B
7. C	17. C	27. C	37. A
8. C	18. A	28. D	38. A
9. C	19. A	29. A	39. B
10. D	20. A	30. B	40. D

Explanation

1. Answer: D

Interest is the cost or price of earlier availability of resources. Without scarcity, people do not need to make choices about current or future consumption, so interest does not exist.

Option A is incorrect. Interest can be in the form of goods or services. Interest can exist even without money.

Option B is incorrect. Interest exists in any economy as long as there is borrowing and lending.

Option C is incorrect. A decrease in the interest rate reduces the cost of current consumption, thus increasing current consumption.

2. Answer: B

(2) is correct. If Miss Hui chooses to rent out the residential unit, she will have to give up the interest income from the time deposit that she would have received from selling the unit. When the interest rate on the time deposit increases, the value of selling the unit will increase and Miss Hui's opportunity cost of renting out the unit will increase.

(1) is incorrect. When the commission required for renting out the unit decreases, the opportunity cost of renting it out will decrease.

(3) is incorrect. When the maximum amount that a buyer is willing to pay for the unit decreases, the interest income from the time deposit that she would have received from selling the unit will decrease, lowering the opportunity cost of renting it out.

3. Answer: A

(1) and (2) are correct. The minibus company's decision to hire more foreign workers and the manufacturer's decision to relocate its factory are related to the question of which types of resources to use to produce goods and services.

(3) is incorrect. Lowering the product price is about who can get the product and is related to the question of 'for whom to produce'.

4. Answer: C

Bondholders are creditors of the company, not owners, so issuing bonds does not increase the risk of the company being taken over.

Option A is incorrect. The company needs to pay interest at a fixed rate to bondholders, while the dividend is determined by the board of directors based on the company's profits. Therefore, the amount of dividend may be lower than the interest.

Option B is incorrect. A public limited company needs to disclose its accounting information to the public, and issuing more bonds or shares does not affect this requirement.

Option D is incorrect. Issuing bonds does not necessarily raise more capital than issuing shares.

5. Answer: D

The knowledge on Baidu Baike is non-excludable and non-rival in consumption. Its consumption is concurrent in nature, so it is a public good.

Option B is incorrect. Free goods refer to those goods that people do not prefer more of as the quantity available is sufficient to satisfy all human wants. People would prefer to have access to more knowledge on Baidu Baike, so it is an economic good.

6. Answer: B

Machines (units)	Labour (units)	Average product (units)	Total product (units)	Marginal product (units)
2	3	20	60	-
2	4	22	88	28
2	5	25	125	37
2	6	24	144	19
2	7	23	161	17

When labour increases from 5 units to 6 units, the marginal product of labour decreases from 37 units to 19 units, so the law of diminishing marginal returns applies to the firm.

Options A and D are incorrect. There is a fixed factor of production (machines), showing that the firm is operating in the short run. Economies of scale and optimal scale of production are thus not applicable to the firm.

Option C is incorrect. The total product is at the highest when the quantity of labour is 7 units.

7. Answer: C

(3) is correct. When the restaurant opens more branches, marketing expenses will increase. If the increase in sales fails to cover the additional marketing expenses, the average production cost will increase and the restaurant will suffer internal diseconomies of scale.

8. Answer: C

The situation indicates that the price of the clothes is below the equilibrium price. At this price, the quantity demanded exceeds the quantity supplied. Therefore, the quantity transacted equals the quantity supplied, which is smaller than the quantity demanded.

9. Answer: C

(3) is correct. If good X and good Y are in competitive demand, a decrease in the price of good X will lead to a decrease in the demand for good Y. The quantity transacted of good Y will therefore decrease.

(1) is incorrect. If good X and good Y are in joint demand, a decrease in the price of good X will lead to an increase in the demand for good Y. The quantity transacted of good Y will therefore increase.

(2) is incorrect. If good X and good Y are in competitive supply, a decrease in the price of good X will lead to an increase in the supply of good Y. The quantity transacted of good Y will therefore increase.

10. Answer: D

If consumers expect the price of good X to increase in the future, the demand for good X will increase and the price will increase. Since good X and good Y are in joint supply, an increase in the price of good X will increase the supply of good Y. The price of good Y will decrease and the quantity transacted will increase.

(3) is correct. Since consumers can buy more good Y at a lower price, consumer surplus in the market for good Y will increase.

(1) is incorrect. Consumers consume until the price equals the marginal benefit, so the price reflects the marginal benefit of the last unit of good Y. As the price of good Y decreases, the marginal benefit of the last unit of good Y decreases.

(2) is incorrect. As the price of good Y decreases and the quantity transacted increases, total revenue may increase, decrease or remain unchanged, depending on the price elasticity of demand for good Y.

11. Answer: C

With effective rent control, there will be excess demand in the market, and the landlords will be more likely to choose tenants based on criteria other than rent.

Option A is incorrect. With effective rent control, the rent and quantity transacted will fall, reducing the landlords' rental income and their willingness to spend on repairing rental units.

Option D is incorrect. With effective rent control, the rent will fall below the equilibrium level. There will be an excess demand in the market and the number of vacant rental units available will fall.

12. Answer: B

An effective price floor must be set above the equilibrium price (\$10).

If the government raises the price floor of good X from \$9 to \$12, the price floor will change from ineffective to effective. The price of good X will rise from \$10 to \$12, and the quantity transacted will decrease from 60 units to 20 units.

Option A is incorrect. At the price of \$12, there is a surplus in the market, not a shortage.

Option C is incorrect. Producers' total revenue will decrease from \$600 ($= \10×60) to \$240 ($= \12×20).

Option D is incorrect. As the price of good X increases, the demand for its substitutes will increase, leading to an increase in their equilibrium price.

13. Answer: B

Q_2 is an ineffective quota because it is greater than the equilibrium quantity of good X. When the quota changes from effective to ineffective, the quantity transacted will increase to the efficient level and the deadweight loss will be eliminated.

Option A is incorrect. As the price decreases and the quantity transacted increases, consumer surplus will increase.

Option C is incorrect. As the increase in total expenditure due to the increase in quantity transacted is greater than the decrease in total expenditure due to the decrease in price, the total expenditure on good X will increase.

14. Answer: C

The sharing of the subsidy between consumers and producers depends on the relative magnitude of price elasticities of demand and supply. The more elastic party will have a smaller share of the subsidy. When demand is more elastic than supply, consumers' share of the subsidy will be smaller than producers' share of the subsidy.

(1) is correct. When demand is elastic and supply is unitarily elastic, demand must be more elastic than supply.

(2) is correct. When demand is elastic and supply is perfectly inelastic, demand must be more elastic than supply.

(3) is correct. When both demand and supply are inelastic, demand may be more elastic than supply.

(4) is incorrect. When demand is inelastic and supply is perfectly elastic, demand must be less elastic than supply.

15. Answer: D

16. Answer: D

When the price is \$22, quantity demanded is 4 units. Consumer surplus = $(\$25 - \$22) + (\$24 - \$22) + (\$23 - \$22) + (\$22 - \$22) = \$6$

When the price is \$23, quantity demanded is 3 units. Consumer surplus = $(\$25 - \$23) + (\$24 - \$23) + (\$23 - \$23) = \$3$

Therefore, if the price of coconut water increases from \$22 to \$23, consumer surplus will decrease by \$3.

17. Answer: C

After the per-unit tax is imposed, the equilibrium price is \$12 and the equilibrium quantity is 8 units.

Total revenue is \$96.

Unit price (\$)	9	10	11	12	13	14
Quantity demanded (units)	14	12	10	8	6	4
Original quantity supplied (units)	8	12	16	20	24	28
New quantity supplied (units)	-	-	-	8	12	16

If the government replaces the per-unit tax with a quota of 8 units, the price will be \$12, the same as the price after the per-unit tax is imposed.

Option A is incorrect.

Consumers' tax burden = \$16 [= (\$12 - \$10) × 8]

Producers' tax burden = \$8 [= [\$10 - (\$12 - \$3)] × 8]

The ratio of consumers' tax burden to producers' tax burden is 2:1.

Option B is incorrect. Raising the per-unit tax increases deadweight loss and reduces total social surplus.

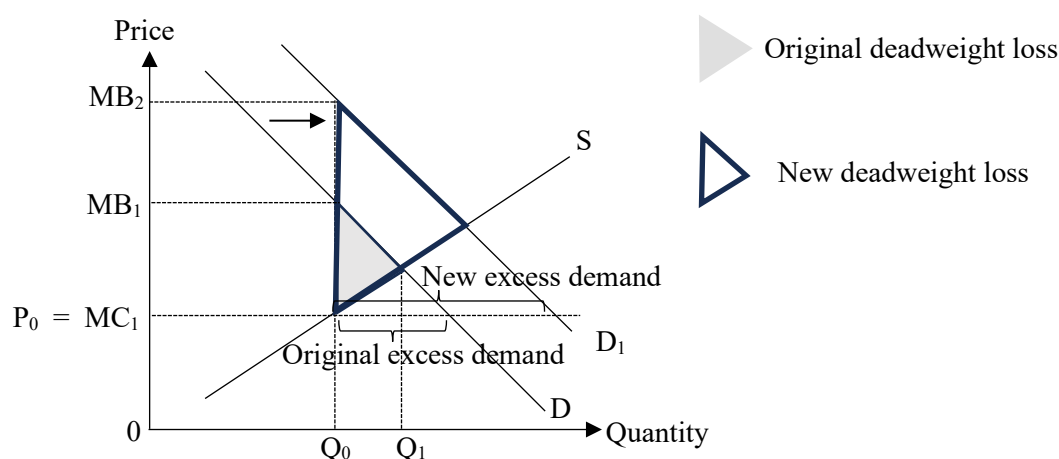
Option D is incorrect. When the price rises from \$10 to \$12, total expenditure will decrease from \$120 (= \$10 × 12) to \$96 (= \$12 × 8), indicating that the percentage decrease in quantity demanded is greater than the percentage increase in price. Thus, demand is elastic within this price range.

18. Answer: A

(1) is correct. If the economy experiences an economic recovery and rice is a normal good, demand for rice will increase. Since the quantity supplied remains at Q_0 , excess demand for rice will increase.

(2) is correct. At the quantity transacted (Q_0), an increase in the demand for rice will widen the gap between marginal benefit and marginal cost, and deadweight loss will increase.

(3) is incorrect. The marginal cost of the last unit of rice will remain unchanged (MC_1).



19. Answer: A

(1) is correct. When the cumulative percentage of households is 20%, Country A's Lorenz curve is below Country B's Lorenz curve, indicating that the total income of the lowest 20% of households in Country A is lower than that in Country B.

(2) is correct. When the cumulative percentage of households is 90%, Country A's Lorenz curve is above Country B's Lorenz curve, meaning that the proportion of income earned by the lowest 90% of households in Country A is higher than that of Country B. In other words, the proportion of income earned by the highest 10% of households in Country A is lower than that of Country B.

(3) is incorrect. The Lorenz curve shows the cumulative percentage of households. Since we do not have data on the number of households in both countries, we cannot determine which country has more high-income people.

20. Answer: A

(1) is correct. The plan helps equalise opportunities. Waiving tuition fees for students from low-income families ensures that they will not be deprived of university education because of poverty. This will improve their productivity and hence their income-earning power in the future.

(2) is correct. Increasing the number of subsidised university degree programs will cause more people to choose further education instead of looking for full-time jobs, so the labour supply will decrease.

(3) is incorrect. The government increasing the number of subsidised university degree programs will cause government expenditure to increase, and aggregate demand will increase. At the same time, a decrease in labour supply will cause the short run aggregate supply to decrease. In the short run, the change in aggregate output will be uncertain, depending on the relative effects of the changes in aggregate demand and short run aggregate supply on aggregate output.

21. Answer: C

Value added of local raw materials = \$250

Value added of local umbrella manufacturers = $(\$1,200 + \$X) - (\$300 + \$250) = \$650 + \X

Value added of retailers = $\$2,000 - \$1,200 = \$800$

Contribution of the production chain to the economy's GDP at market prices = $\$250 + \$650 + X + \$800 = \$1,700 + X$

Contribution of the production chain to the economy's GDP at factor cost (\$3,000) = $\$1,700 + X - \100
 $X = \$1,400$

22. Answer: C

GDP = Private consumption expenditure + Gross investment + Government consumption expenditure + Net exports

GDP at market prices = $\$500 \text{ million} + (\$300 + 25 + 20) \text{ million} + \$350 \text{ million} + (\$600 + 350 - 300) \text{ million}$

GDP at market prices = $\$(500 + 345 + 350 + 650) \text{ million} = \$1,845 \text{ million}$

23. Answer: B

(1) is not included in the calculation of the GDP in 2025. The Old Age Living Allowance is a transfer payment with no corresponding production.

(3) is not included in the calculation of the GDP in 2025. The pocket money does not involve production.

(2) is included in the calculation of the GDP in 2025. The expenditure is regarded as consumption expenditure by a household on final goods and services.

24. Answer: A

Option B is incorrect. This is the factor income earned by non-residents within the economic territory.

Option C is incorrect. This is the factor income earned by residents within the economic territory.

Option D is incorrect. Since the teacher has worked in Hong Kong for more than one year, he is a resident of Hong Kong and his income is the factor income earned by residents within the economic territory.

25. Answer: B

$GNI = GDP + \text{Net factor income from abroad}$

Since net factor income from abroad is negative, GNI is smaller than GDP.

Option A is incorrect. $GDP \text{ deflator} = (\text{Nominal GDP} / \text{Real GDP}) \times 100$

The GDP deflator is smaller than 100, which means nominal GDP is smaller than real GDP.

Option C is incorrect. $GDP \text{ at factor cost} = GDP \text{ at market prices} - \text{Indirect taxes} + \text{Subsidies}$

$GDP \text{ at factor cost} = GDP \text{ at market prices} - \$20 \text{ million} + \$15 \text{ million}$

GDP at factor cost is smaller than GDP at market prices.

Option D is incorrect. $\text{Net exports} = \text{Total exports} - \text{Total imports}$

Since net exports are negative, total exports are smaller than total imports.

26. Answer: B

An increase in nominal GDP (6%) and a decrease in population (–1%) reflect an increase in per capita nominal GDP.

$\text{Real GDP} = (\text{Nominal GDP} / \text{Implicit price deflator of GDP}) \times 100$

In 2024, the growth rate of nominal GDP (6%) is lower than the growth rate of implicit price deflator of GDP (8%), which means that real GDP has decreased by about 1.85% $[= 1 - (1 + 6\%) / (1 + 8\%)]$.

Since the percentage decrease in real GDP (1.85%) is higher than the percentage decrease in population (1%), it reflects a decrease in per capita real GDP.

27. Answer: C

28. Answer: D

When more professionals come to work in Hong Kong, the labour supply in Hong Kong will increase and long run aggregate supply will increase. An increase in population will increase private consumption expenditure. Aggregate demand will increase, and GDP will increase.

29. Answer: A

When the government provides cash subsidies to applicants waiting for public housing, the disposable income of low-income households will increase. Private consumption expenditure will increase.

Aggregate demand will increase and the aggregate demand curve will shift to the right.

Option B is incorrect. When the government cuts production subsidies to firms, short run aggregate supply will decrease and the short run aggregate supply curve will shift to the left.

Option C is incorrect. When the major trading partner experiences economic recession, Country A's net exports will fall. Aggregate demand will decrease and the aggregate demand curve will shift to the left.

Option D is incorrect. An increase in the general price level will cause a movement along the aggregate demand curve, not a shift of the entire aggregate demand curve.

30. Answer: B

Policy I: When the government introduces more capital to support production, firms' productivity will increase and short run aggregate supply will increase. In the short run, aggregate output will increase.

Policy II: When the government tightens the visa requirements for foreign visitors, the number of travelers to the economy will decrease. Net exports will decrease and aggregate demand will decrease. In the short run, aggregate output will decrease.

Policy III: When the government raises the salaries tax rate, people's disposable income will decrease. Private consumption expenditure will decrease and aggregate demand will decrease. In the short run,

aggregate output will decrease.

Policy IV: When the government provides transportation subsidies to housewives who re-enter the workplace, it encourages more housewives to work. Short run aggregate supply will increase. In addition, the transportation subsidies will increase people's disposable income, private consumption expenditure will increase and aggregate demand will increase. To conclude, in the short run, aggregate output will increase.

Option B is correct. In the short run, aggregate output will increase.

Options A and D are incorrect. In the short run, aggregate output may increase, decrease or remain unchanged.

Option C is incorrect. In the short run, aggregate output will decrease.

31. Answer: A

(1) is correct. When there is an increase in labour costs, the short run aggregate supply will decrease. In the short run, aggregate output will decrease and the inflationary (output) gap will be narrowed.

(2) is correct. When there is an increase in the progressivity of salaries tax, some taxpayers have to pay more tax, their disposable income will decrease. Private consumption expenditure will decrease and aggregate demand will decrease. In the short run, aggregate output will decrease and the inflationary (output) gap will be narrowed.

(3) is incorrect. Increasing production subsidies will reduce the cost of production. Short run aggregate supply will increase. In the short run, aggregate output will increase and the inflationary (output) gap will be widened.

32. Answer: D

When aggregate demand decreases, there will be a deflationary (output) gap in the economy. There will be an excess supply in the factor market, resulting in a downward pressure on input prices. The cost of production will decrease. Short run aggregate supply will increase. In the long run, the output level will return to the full-employment output level (Y_1). The long run equilibrium point will change from E_1 to E_2 .

Option D is correct. When people prefer to consume imported goods instead of locally produced goods, net exports will decrease and aggregate demand will decrease.

Option A is incorrect. As more firms use artificial intelligence to replace labour, their productivity will increase. Long run aggregate supply will increase, leading to an increase in the output level.

Option B is incorrect. When firms become more optimistic about their business prospects, investment expenditure will increase. Aggregate demand will increase. The long run equilibrium point will be above E_1 .

Option C is incorrect. When firms expect the general price level to decrease, the short run aggregate supply will increase. The market adjustment mechanism will restore the long run equilibrium point to E_1 .

33. Answer: D

(1) is correct. If the government increases the living allowance provided to grassroots children, their disposable income will increase. Private consumption expenditure will increase and aggregate demand will increase. Aggregate output will increase. At the same time, the living allowance will make it easier for grassroot children to obtain learning opportunities (such as extracurricular activities) so that they are not deprived of education because of financial constraints. This will improve their productivity and their income in the future. This will help equalise opportunities.

(2) is correct. If the government allocates more resources to improve the quality of education in public

schools, government expenditure will increase. Aggregate demand will increase and aggregate output will increase. At the same time, since public schools primarily serve low-income children, improving the quality of education will benefit them more, which will help improve their productivity and income in the future. This will help equalise opportunities.

(3) is correct. Abolishing the general sales tax will reduce production costs, short run aggregate supply will increase and aggregate output will increase. At the same time, sales tax is a regressive tax.

Compared with high-income people, the sales tax accounts for a larger proportion of the income of low-income people. After abolishing the general sales tax, the income of low-income people will increase by a larger proportion. This will help equalise income.

34. Answer: A

35. Answer: D

Hong Kong Interbank Clearing Limited acts as the clearing house in Hong Kong.

36. Answer: B

(1) is correct. Licensed banks can accept all types of deposits of any amount and maturity.

(2) is correct. Restricted licence banks accept time deposits and NCDs of any maturity of HK\$500,000 or above.

(3) is incorrect. Deposit-taking companies cannot accept the deposit as the maturity of deposit is less than three months.

37. Answer: A

Withdrawing HK\$100,000 cash from a licensed bank will not affect M1, M2 and M3.

Depositing HK\$50,000 into a time deposit with a licensed bank will cause M1 to decrease by HK\$50,000, while M2 and M3 will remain unchanged.

Remitting the remainder (\$50,000) overseas will cause M1, M2 and M3 to decrease by HK\$50,000 because the amount is no longer included in Hong Kong's money supply.

The overall effect of the above actions on M1, M2 and M3:

M1 will decrease by HK\$100,000.

M2 will decrease by HK\$50,000.

M3 will decrease by HK\$50,000.

38. Answer: A

Money supply = Cash in public circulation + Bank deposits

(1) is correct. When the public deposit all their cash into commercial banks, the increase in bank deposits will be greater than the decrease in cash in public circulation after the deposit creation process is completed. The money supply will increase.

(2) is correct. When commercial banks hold fewer excess reserves, the amount available for loans will increase. Deposits will increase after the deposit creation process is completed.

(3) is incorrect. When the government raises the required reserve ratio, the amount of money that banks can lend will decrease. The money supply will decrease after the deposit contraction process is completed.

39. Answer: B

Before the public deposit \$100 million in cash into the banking system, the balance sheet of the banking system is as follows:

Assets (\$ million)		Liabilities (\$ million)	
Reserves	1,200	Deposits	4,800
Loans	3,600		

The required reserve ratio of the banking system is 25%.

After the public deposit \$100 million in cash into the banking system and after the deposit creation process is completed, the balance sheet of the banking system is as follows:

Assets (\$ million)		Liabilities (\$ million)	
Reserves	1,300	Deposits	5,200
Loans	3,900		

Option A is incorrect. Maximum possible amount of money supply = Cash in public circulation + Bank deposits = \$100 million + \$5,200 million = \$5,300 million.

Option C is incorrect. Maximum possible amount of deposits = \$5,200 million

Option D is incorrect. Monetary base = Cash in public circulation + Bank reserves = \$100 million + \$1,300 million = \$1,400 million. The monetary base will remain unchanged.

40. Answer: D

When the central bank prints more money, the money supply will increase. The money supply curve will shift to the right from M_{s0} to M_{s2} .

When people expect the price of bonds to fall, they will hold fewer bonds and hold more money as assets. The asset demand for money will increase, and the money demand curve will shift to the right from M_{d0} to M_{d2} .

Paper 2

Section A (34 marks)

1. (a) Yes, (1 mark)
because people would prefer to have more of these tickets as the quantity available is not sufficient to satisfy all human wants. (1 mark)
- (b) Since the tickets cannot be resold, she does not have the right to transfer the tickets. (2 marks)
2. If the charge for the first kg of parcels is increased by \$5, the relative price of heavy parcels (in terms of lightweight parcels) will decrease. According to the law of demand, a greater proportion of heavy parcels relative to lightweight parcels will be sent. Therefore, the average weight of parcels will increase. (4 marks)
3. (a) Horizontal expansion, (1 mark)
because this is an expansion of a firm into the production of the same product (dance teaching services). (1 mark)
- Advantages:
- to increase market share and influence
 - to enjoy economies of scale
 - to use resources more efficiently
 - to take advantage of brand names
 - any reasonable answers
- (Mark the **FIRST TWO** points only)
- (b) No. (1 mark)
Since the teacher is not a resident of Hong Kong, his income is the factor income earned by a non-resident inside Hong Kong. (2 marks)
- (c) Positive statement, (1 mark)
because it is refutable by facts, with no value judgement. (1 mark)
4. (a) Reasons:
- The store can have a wider source of capital to expand its business.
 - Mr. Cheung can enjoy limited liability.
 - Any reasonable answers
- (Mark the **FIRST TWO** points only)
- (b) Reasons:
- Frozen food stores offer heterogeneous goods, such as frozen food from different origins.
 - Neither buyers nor sellers have complete information about the market, such as information about the product quality.
 - Frozen food stores are price searchers and can set their own prices without losing all customers.
 - There is price competition and non-price competition among frozen food stores.
 - Any reasonable answers
- (Mark the **FIRST TWO** points only)

1@, max: 2 marks

1@, max: 2 marks

2@, max: 2 marks

5. (a) Verbal elaboration:

After the provision of the per-unit subsidy, supply will increase. (1 mark)

Since the quantity transacted remains unchanged and the price decreases, consumers' total expenditure will decrease. (1 mark)

Illustrate in the diagram:

- downward shift of the supply curve (1 mark)

- price decreases and quantity transacted remains unchanged (1 mark)

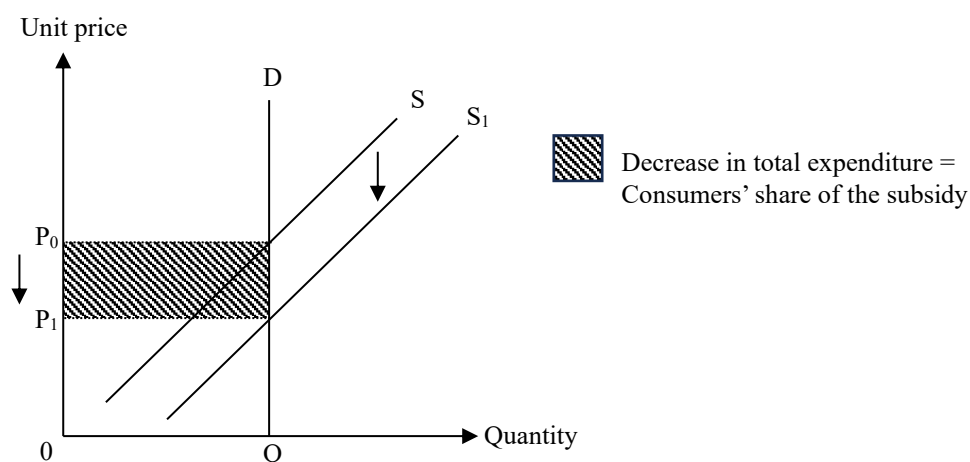
- correct position of the decrease in total expenditure (1 mark)

(b) Verbal elaboration:

Consumers will enjoy the entire subsidy. (1 mark)

Illustrate in the diagram:

- correct position of the consumers' share of the subsidy (1 mark)



6. (a) Since Singapore's nominal GDP in 2023 was higher than that of Hong Kong, but its population is smaller than that of Hong Kong, Singapore's per capita nominal GDP is higher. (2 marks)

(b) No. (1 mark)

A reason:

- Singapore residents may have had less leisure time.
- The general price level in Singapore may have been higher.
- Income distribution in Singapore may have been less even.
- Any reasonable answer

(Mark the **FIRST** point only)

1@, max: 1 mark

Section B (46 marks)

7. (a) The economy has an inflationary (output) gap as the short run equilibrium output level is higher than the full-employment output level (Y_f). (2 marks)

(b) Verbal elaboration:

A drop in the price of oil will reduce the cost of production. (1 mark)

Short run aggregate supply will increase. (1 mark)

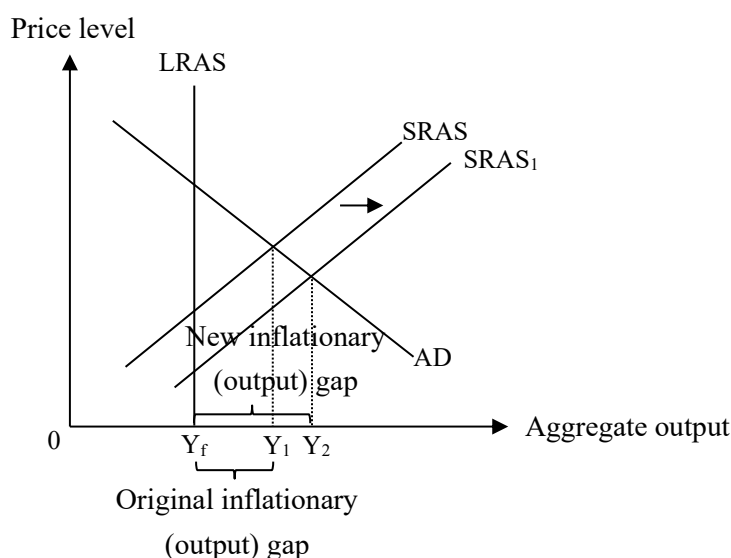
Aggregate output will increase, widening the inflationary (output) gap. (1 mark)

Illustrate in the diagram:

- rightward shift of the SRAS curve (1 mark)

- correct position of original inflationary (output) gap (1 mark)

- aggregate output increases, inflationary (output) gap widened (1 mark)



- (c) There is an inflationary (output) gap. There is an excess demand in the factor market, resulting in an upward pressure on input prices. The cost of production will increase. Short run aggregate supply will decrease. In the long run, the output level will be restored to the full-employment output level (Y_f). (4 marks)

8. (a) Required reserve ratio = $[(\$3,000 \text{ million} - \$500 \text{ million}) / \$10,000 \text{ million}] \times 100\% = 25\%$ (1 mark)

- (b) New required reserve ratio = $25\% - 5\% = 20\%$

The balance sheet after the deposit creation process is completed:

Assets (\$ million)		Liabilities (\$ million)	
Reserves	3,000	Deposits	15,000
Loans	12,000		

(3 marks)

- (c) Reducing the required reserve ratio will increase the money supply. (1 mark)
 Interest rate will decrease. (1 mark)
 Consumption/investment expenditure will increase. (1 mark)
 Aggregate demand will increase. (1 mark)
 In the short run, both the price and output levels will increase. (1 mark)

9. (a) When the tunnel toll decreases, the quantity demanded will increase. If the demand for the Tai Lam Tunnel's services is elastic, the percentage increase in quantity demanded will be greater than the percentage decrease in price and the tunnel toll revenue will increase. (3 marks)
- (b) When more drivers use HKEToll, transaction demand for money will decrease. Money demand will decrease. The nominal interest rate will decrease. (2 marks)
- (c) During peak hours, the toll for Tai Lam Tunnel increases. More drivers may switch to Tuen Mun Road. The increased number of vehicles using Tuen Mun Road will cause congestion. Although the monetary cost of using Tuen Mun Road is lower than that of using Tai Lam Tunnel, the time cost of using Tuen Mun Road may be higher. If the additional time cost outweighs the monetary cost saved, in terms of full cost, the opportunity cost of using Tuen Mun Road will be higher than that of using the Tai Lam Tunnel. (3 marks)
- (d) Hong Kong's GDP will increase because the transportation expenses will increase, resulting in an increase in private consumption expenditure. (3 marks)
- (e) Marks awarded for effective communication (EC: max 2 marks)

Marks	Performance
2	• <i>Arguments supported with the source/data and appropriate economic theories</i> • <i>Relevant materials presented</i> • <i>Well-organised and coherent answers presented without repetition of ideas</i> • <i>Ideas clearly and fluently expressed with appropriate use of language/words/terms/symbols</i>
1	• <i>Arguments presented with some support of the source/data and economic theories</i> • <i>Some irrelevant materials presented</i> • <i>Answers presented in a less organised way with some repetition of ideas</i> • <i>A clear message conveyed with some inappropriate use of language/words/terms/symbols</i>
0	• <i>Arguments presented with no support of the source/data and economic theories</i> • <i>Materials unrelated to the gist of the question presented</i> • <i>Inconsistent arguments presented</i> • <i>Limited ideas expressed with inappropriate use of words/terms/symbols</i>

The maximum marks for content are 12 marks. Answers may include the following:

Economic efficiency

Proposal I:

During traffic congestion, drivers using Tuen Mun Road negatively affect other drivers, such as by increasing journey times, but they do not give compensation to the affected drivers. External cost exists. This means that the marginal social cost is higher than the marginal social benefit, and the number of cars using Tuen Mun Road exceeds its efficiency level. Building a new trunk road will

help divert vehicles. The marginal private benefit will decrease. The number of cars using Tuen Mun Road will decrease to a level closer to the efficient level, improving economic efficiency.

Proposal II:

- After providing fare subsidies, the quantity transacted of relevant bus services will increase. At the quantity transacted, the marginal benefit will be lower than the marginal cost, and there will be a deadweight loss.
- With reference to the view of the Yuen Long resident in Source C, after providing fare subsidies, more people who originally drove may choose to take buses. The number of private cars on the road will decrease, improving the congestion of Tuen Mun Road. As traffic congestion creates a divergence between private and social costs, when the number of private cars on the road decreases, the number of cars using Tuen Mun Road will be reduced to a level closer to the efficient level, improving economic efficiency.

Evaluation:

Proposal I may be better than proposal II because the effect of proposal I on economic efficiency is more certain.

Income distribution

Proposal I:

- Theoretically, the new trunk road can benefit all residents regardless of income, thus having no significant effect on income distribution.
- The construction of the new trunk road can shorten the travel time from the Northwest New Territories to the urban area. Since the average income of residents living in the Northwest New Territories is lower, the new trunk road may increase their geographical mobility, reducing the cost of finding jobs with higher salaries in the urban area and helping to increase their income. Income distribution will thus become more even.

Proposal II:

- The fare subsidies reduce transportation expenses and directly increase people's disposable income, especially for low-income people who rely on public transportation. Low-income people will experience a larger increase in income than high-income people and income distribution will become more even.
- The fare subsidies may increase the geographical mobility of low-income people, enabling them to travel to the urban area for jobs with higher salaries. Income distribution will thus become more even.

Evaluation:

Proposal II may be better than proposal I because proposal II more directly benefits low-income people and makes income distribution more even.

Aggregate output

Proposal I:

- Constructing a new trunk road will increase investment expenditure, aggregate demand will increase and aggregate output will increase in the short run. Upon completion, Hong Kong's productive capacity will increase and the long run aggregate supply will increase. In the long run, aggregate output will increase.
- During construction, many jobs will be created for workers in the construction industry and related industries (such as engineers and construction workers). Labour income will increase. Private consumption expenditure will increase, and aggregate demand will increase. Aggregate output in the short run will increase.
- Improved transportation networks would drive the development of the Northwest New Territories, such as by attracting more real estate developers to invest in the area. Firms' investment expenditure will increase, and aggregate demand will increase. In the short run, aggregate output will increase. In the long run, Hong Kong's capital will increase and the productive capacity will increase. Long run aggregate supply will increase. In the long run, aggregate output will increase.

Proposal II:

- The fare subsidies will increase the disposable income of the residents. Private consumption expenditure will increase. Aggregate demand will increase. In the short run, aggregate output will increase.

Evaluation:

Proposal I may be better than proposal II because proposal I will lead to an increase in aggregate output in both the short run and long run, while proposal II will only lead to an increase in aggregate output in the short run and has no significant effect on the aggregate output in the long run.